

Executive Summary: Public Procurement Analysis (Chilean Public Market / Mercado Público)

1. How Does the State Spend?

- **Institutional Concentration:** Public spending exhibits severe concentration at the top.
 - The **Top 10** agencies account for **84.1%** of total spending.
 - Just **5 institutions** execute **64.6%** of the budget.
 - **CONAF** individually accounts for **19.5%** of overall expenditure.
 - **Operational vs. Budgetary Structure:**
 - **Operational:** Massive fragmentation at the transactional level (400,300 POs; median value of \$919.16K CLP).
 - **Budgetary:** Dominated by mega-transactions that inflate the average and drive high volatility.
 - **Competition:** High fragmentation in terms of transaction count (35,769 suppliers; average of 11.19 POs/supplier), ruling out transactional monopolies. A value-weighted (\$) analysis is required to evaluate financial oligopolies.
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2. Where Does the State Spend?

- **Regional Distribution:** Extreme centralization.
 - The **Santiago Metropolitan Region** absorbs **96.7%** of recorded spending (\$66.82 Quadrillion CLP), driven by corporate headquarters and ministerial billing biases.
 - The remaining 15 regions account for only **3.3%** combined.
 - **Distribution by Industry & Category:**
 - **Information Technology (IT):** Leads with **42.8%** of total spending by industry.
 - **Top 5 Sectors:** Concentrate **93.7%** of the overall budget.
 - **Transportation & Logistics:** Leading single category by volume, accounting for **19.2%** (\$13.17 Quadrillion CLP).
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3. Opportunities for Suppliers

- **High-Opportunity "Unsaturated" Niches:**
 - **Transportation, Storage & Post:** \$140.09T per supplier; high transactional turnover (2,101 POs / 94 suppliers).
 - **IT & Telecommunications:** Steady stream of orders (thousands of POs) and high liquidity spread across hundreds of vendors.
 - **False Niches (Closed Markets / Oligopolies):**
 - **Financial & Banking Services:** \$630.98T per supplier, but restricted to just 6 entities.
 - **Mining Machinery:** Dominated by only 2 to 8 specialized suppliers, posing high technical entry barriers.
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Category / Sector	Market Type	Suppliers	Spend / Supplier	Diagnostic
Transportation & Storage	Open / Dynamic	94	\$140.09T	Niche #1: High frequency & return
IT & Telecommunications	Open / Dynamic	364	\$26.33T	Niche #2: High transaction volume
Financial & Banking Services	Closed / Concentrated	6	\$630.98T	False Niche: Institutional barriers
Mining Machinery	Closed / Concentrated	8	\$37.12T	False Niche: Technical exclusivity